

**UNIVERSITY INTERSCHOLASTIC LEAGUE
ACCOUNTING EXAM
State 2019-S**

Do not turn this page until the start signal is given!

All answers MUST be written on your answer sheet. Either upper case or lower case letters are acceptable.

WRITE LEGIBLY !

Write letters far enough above the line so that (for example) an “E” can be distinguished from an “F”. Graders must be able to read your response before points can be given.

For each multiple choice question, write only the identifying letter of the correct answer on your answer sheet.

When an answer contains more than one response, all responses must be correct for the answer to receive points. An incorrect response among the correct responses will cause your answer to receive zero points. The correct responses may be listed in any order unless the group instructions state otherwise.

If the answer has zero cents, it is not necessary to write the decimal or the zeroes for cents. A dollar amount with cents must have two decimal places. A required decimal point must be clearly visible and in the correct position.

Including commas in an amount where appropriate is encouraged. Marking a comma in the wrong position will cause your answer to be marked wrong. Failure to use commas will not make your answer wrong. Do not make a comma so large that it resembles a numeral.

You must follow group instructions regarding rounding and format of each answer.

A percentage must be stated as a percentage; not as a decimal.

Net cash used, a loss, net loss, negative number, or cash short **MUST** be indicated by brackets or parentheses. (Minus sign is not acceptable.)

When there are no choices of answers given (not a multiple choice) and the answer is zero, write the number “0” or the word “zero.”

After the start signal is given, you may remove table pages and any work sheets from the staple for convenience. Work sheets are never reviewed by graders.

UIL Accounting State 2019-S

Group 1

For questions 1 through 11, write on your answer sheet how each item is closed (or not closed) at the end of the fiscal year using the following code (do not substitute any letter or word for the codes DR, CR, NC):

DR	=	close the account with a debit
CR	=	close the account with a credit
NC	=	this item is either not closed OR it is not an account

- | | |
|-------------------------|--|
| 1. Transportation In | 7. Unearned Revenue |
| 2. Gain on Plant Assets | 8. Allowance for Uncollectible Accounts |
| 3. Interest Receivable | 9. Retained Earnings |
| 4. Dividends—Common | 10. Interest Income |
| 5. Preferred Stock | 11. Paid-in Capital in Excess of Par--Common |
| 6. Sales Discounts | |

Group 2

One of the items sold at Betty's Boutique is a scarf. The following shows the beginning inventory and purchases information for the year.

During the year 42 scarves were sold for \$16 each and 49 scarves were sold for \$18 each. The company uses a periodic inventory system. (If necessary, round computations to the nearest cent.)

		Number of Units	Cost per Unit	Extended Amount
1-1-18	Beginning Inventory	5	6.00	30
Jan	Purchase	10	6.10	61
Feb	Purchase	5	6.20	31
Mar	Purchase	10	6.40	64
Apr	Purchase	20	6.00	120
May	Purchase	20	5.00	100
July	Purchase	15	6.00	90
Aug	Purchase	20	5.00	100
Nov	Purchase	10	6.40	64
Dec	Purchase	10	5.00	50
		125		710

For questions 12 through 14, write the correct amount on your answer sheet.

- What is the amount of gross profit for the year if the FIFO method of inventory costing is used?
- What is the amount of gross profit for the year if the LIFO method of inventory costing is used?
- What is the amount of gross profit for the year if the average cost method of inventory costing is used?

Group 3

On January 3, 2018 Daisy Inc. was organized and authorized to issue 25,000 shares of \$15 par common stock and 800 shares of \$100 par, preferred 6% stock.

The company prepares adjusting and closing entries only at the fiscal year end which is December 31. The company prepares a Balance Sheet, Income Statement, and Statement of Stockholders' Equity annually.

In January 8,000 shares of common stock were issued at par, 3,500 shares of common stock were issued at \$18, and 500 shares of preferred stock were issued at \$100.

The company earned \$89,225 in net income in 2018. On December 15, 2018 the board of directors declared a total cash dividend of \$65,445 for both preferred and common stock for the shareholders of record on December 31, 2018 to be paid by March 15, 2019.

For questions 15 through 19 write the correct amount or number on your answer sheet.

- *15. Of the total dividends declared, what amount per share is available to the common stockholders?
- 16. After closing entries, how much of the net income is retained by the corporation?
- *17. What amount should be reported on the December 31, 2018 balance sheet on the single equity line called Stockholders' Equity?
- 18. How many shares of common stock are unissued as of December 31, 2018?
- 19. What is the balance of Paid-in Capital in Excess of Par on December 31, 2018 after closing entries?

Group 4

Match each situation in items 20 through 26 with the best term using the following code:

Terms			
A	Accrued Revenue	C	Deferred Expense
B	Accrued Expense	D	Deferred Revenue

- 20. an expense not yet incurred; paid in advance
- 21. owes property taxes assessed; but has not yet recorded or paid the taxes
- 22. a revenue not yet earned; collected in advance
- 23. office supplies on hand and paid for; will be used next accounting period
- 24. rent not yet collected; already earned but not yet recorded
- 25. an expense is incurred; not yet paid or recorded
- 26. a revenue is earned; not yet recorded or collected

Group 5

Use the following information for each of the two different cases presented below. Adjusting and closing entries are prepared only at the end of the fiscal year which is December 31. The following normal balances are provided on December 31 before any uncollectible accounts are written off this year and before adjusting entries are prepared.

Accounts Receivable	42,875
Allowance for Uncollectible Accounts	3,725
Sales (includes cash & charge sales)	119,999
Sales Discounts	2,943
Sales Returns & Allowances	1,756
charge sales	40,800
Uncollectible Accounts Expense	0

Accounts Receivable—Debra Green must be written off on 12-31-18. The company has stopped trying to collect it after ten months.	1,970
The Aging of Accounts Receivable (after all accounts have been written off in 2018) indicates uncollectible accounts in the amount of:	3,925

For questions 27 through 34, write the correct amount on your answer sheet.

First case: Answer questions 27 through 32 using the data above from the perspective of Twinkle Company, which uses the aging of accounts receivable method.

27. What is the book value of Accounts Receivable before the Debra Green account is written off and before adjusting entries are prepared?
28. What is the book value of Accounts Receivable after the Debra Green account is written off and before adjusting entries are prepared?
29. What is the balance of Uncollectible Accounts Expense after the Debra Green account is written off and before adjusting entries are prepared?
30. What is the balance of Allowance for Uncollectible Accounts after the Debra Green account is written off and before adjusting entries are prepared?
31. What is the correct amount of the adjusting entry for uncollectible accounts expense?
- *32. What is the book value of Accounts Receivable on the Balance Sheet dated December 31, 2018?

Second case: Answer questions 33 and 34 using the data at the top of this page from the perspective of Copper Company. Copper Company uses the percentage of net sales method, and historically that percentage has been 3%.

33. What is the correct amount of the adjusting entry for uncollectible accounts expense?
- *34. What is the book value of Accounts Receivable on the Balance Sheet dated December 31, 2018?

Group 6

The accountant asked the payroll clerk to assist her with the annual financial statement analysis. It is company policy to round ratios to the nearest hundredth of a percent.

The payroll clerk was very proficient in all aspects of human resource accounting, but he was very unsure of the accounts needed to make the various analysis computations. The following list is the information gathered by the clerk from the financial statements for the year ending December 31, 2018.

	Amount		Amount	Due Date
Change Fund	300	Interest Payable	68	3-15-19
Cash in Bank	2,290	Accounts Payable	3,157	1-31-19
Land	25,000	Note Payable	7,500	3-15-19
Prepaid Insurance	1,800	Fed. Inc. Tax Pay.	390	1-15-19
Petty Cash	200	Dividends Payable	1,000	2-15-19
Merchandise Inventory	9,850	Sales Tax Payable	760	1-20-19
Office Supplies	350	Note Payable	125,000	3-15-25
Office Equipment	4,260	Fed. Corp. Inc. Tax Payable	1,500	4-15-19
Accounts Receivable	29,210	Note Payable	10,000	3-20-20
Buildings	640,280	Property Tax Payable	800	1-31-19
		Salaries Payable	825	1-18-19
		Common Stock	90,000	?
		Paid-In Capital in Excess Par	12,000	?

For questions 35 through 37, write the identifying letter of the best response on your answer sheet.

35. What is the correct amount of working capital?

- A. \$16,000 B. \$18,000 C. \$22,260 D. \$28,000 E. \$32,260 F. \$90,000

36. The current ratio is ? to 1.

- A. 1.69 B. 2 C. 2.13 D. 2.39 E. 2.75 F. 3.02

*37. The quick ratio is ? to 1.

- A. 0.17 B. 1.23 C. 1.61 D. 2 E. 2.13 F. 2.62

Group 7

Sunflower Corp has the following accounting policies and procedures:

- uses the accrual basis of accounting
- fiscal year end is September 30
- adjusting entries are prepared only at the fiscal year-end
- closing entries are prepared only at the fiscal year-end
- does not use reversing entries

Sunflower Corp banks with First Secure Financial. This bank uses 360 days in promissory note calculations instead of 365 days. Banks refer to this as a banker's year of 360 days. Round all computations to the nearest cent.

Use the following information to solve questions 38 through 42. Write the correct amount on your answer sheet.

On September 10, 2018 Sunflower Corp borrowed money from the First Secure Financial by signing a \$75,600, 90-day non-interest-bearing note. The bank discounted the loan at a rate of 5%.

38. What is the maturity value of the note?
39. What amount would be recorded in Discount on Notes Payable on 9-10-18?
40. What is the amount of the proceeds?
- *41. On September 30, 2018 an adjusting entry is required to record interest expense for this note. What is the amount of the interest expense?
- *42. On October 1, 2018 before any transactions take place, what is the balance in the contra liability account?

Group 8

Refer to Table 1 on page 8. For questions 43 through 45, refer to the Schedule of Monthly Payments and write the correct amount on your answer sheet.

43. What is the principal balance of the loan AFTER the October payment is made?
44. What is the correct amount of interest for the December payment?
- *45. What is the principal balance of the loan after the December payment is made?

Continue to Refer to Table 1 on page 8. For questions 46 and 47, write the correct amount on your answer sheet.

46. What is the book value of this truck on December 31, 2018 after all adjusting entries have been posted?
- *47. Consider that this truck is sold by Pom, Inc. on December 31, 2022 for \$10,000. What is the amount of gain on the sale of the asset?

Group 8 continued

Continue to Refer to Table 1 on page 8. For questions 48 and 49, write the identifying letter of the best response on your answer sheet.

48. The loan on this truck is an example of
A. line of credit C. capital stock
B. bond payable D. long-term note payable
49. Which of the following statements is false?
A. Assets pledged to a creditor to guarantee repayment of a loan are called collateral.
B. If Pom Inc is unable to repay the loan on the truck, the creditor can take the truck and sell it to pay off the debt.
C. Banks earn income when borrowers repay the principal of the loan.
D. With each loan, the bank takes a risk that the borrower will not repay it.
E. Short-term notes typically finance revenue expenditures; whereas long-term notes typically finance capital expenditures such as plant assets.

Group 9

Refer to Table 2 on pages 9 and 10. For questions 50 through 62 consider only the business operations of the first year, 2017. Write the correct answer on your answer sheet. If necessary, round a percentage to the nearest tenth.

On the worksheet for the year ended December 31, 2017 in the Trial Balance columns, what is the correct balance for the following accounts?

- | | |
|---|-----------------------|
| 50. Cash in Bank | 54. Accounts Payable |
| 51. Merchandise Inventory | 55. Common Stock |
| 52. Prepaid Insurance | 56. Retained Earnings |
| 53. Accumulated Depreciation—Store Fixtures | |

On the worksheet for the year ended December 31, 2017 in the Adjusted Trial Balance columns, what is the correct balance in the following accounts?

- | | | |
|-------------------------|--------------------------|-----------------------|
| 57. Accounts Receivable | 58. Depreciation Expense | 59. Insurance Expense |
|-------------------------|--------------------------|-----------------------|

Continue to consider only the business operations of the first year, 2017. For questions 60 through 62 write the correct answer on your answer sheet.

60. What is the gross profit percentage for the year 2017?
*61. What is the net income for the year 2017?
*62. After all closing entries dated 12-31-17 are journalized and posted, what is the balance of Retained Earnings?

Group 9 continued

Continue to Refer to Table 2. For questions 63 through 80 consider that all business transactions and adjusting journal entries for the second year, 2018, have been correctly journalized and posted. Write the correct amount on your answer sheet.

What are the following “missing balances” in the Adjusted Trial Balance given in Table 2 on page 10?

- | | |
|--|--------------------------|
| *63. Merchandise Inventory | 69. Dividends |
| 64. Prepaid Insurance | **70. Sales |
| *65. Accumulated Depreciation—Store Fixtures | 71. Salary Expense |
| 66. Dividends Payable | 72. Insurance Expense |
| 67. Common Stock | 73. Depreciation Expense |
| 68. Retained Earnings | |

On the Income Statement for the twelve months ended December 31, 2018, what is the correct amount of...

- | | |
|-----------------------------------|--|
| 74. Cost of Delivered Merchandise | 76. Cost of merchandise Available for Sale |
| 75. Net Purchases | *77. Net Income |

What was the balance of Retained Earnings...

- *78. in the general ledger on January 1, 2018
- *79. on the work sheet for the year 2018 in the Trial Balance column
- **80. in the general ledger on January 1, 2019

This is the end of the exam. Please hold your exam and answer sheet until the contest director calls for them. Thank you.

Table 1
(for questions 43 through 49)

Pom Inc. provides delivery services. Pom expanded business to include an additional route; therefore, management purchased an additional truck. On August 1, 2018 the company purchased a new truck that cost \$49,500 with a down payment of \$15,000 and the balance financed through a local bank. The bank's schedule of monthly payments is shown below although coffee was spilled on the paper causing some amounts to be blurred. It is bank policy to round each interest calculation to the nearest cent.

Pom is required to make a monthly principal and interest payment that totals \$1,049.56. The truck has an estimated salvage value of \$3,000 and an estimated useful life of 5 years.

Pom prepares adjusting and closing entries only at the end of the fiscal year which is December 31 and uses the straight line method of depreciation.

		Amount Borrowed	\$34,500		
		Term of Note in Months	36		
		Annual Interest Rate	6%		
		Monthly Payment	\$1,049.56		
Payment Number	Payable 1 st Day of	Beginning Balance	Interest	Principal	Ending Balance
1	September		172.50		
2	October		168.11		
3	November		163.71		
4	December				

Table 2
(for questions 50 through 80)

For-The-Birds is a retail store that sells bird feeders, bird food and supplies for the avid bird watcher. The company prepares adjusting and closing entries only at the fiscal year-end, which is December 31. The company uses the periodic inventory system.

The first page of Table 2 gives you information about the year 2017. The next page of Table 2 gives you information about the year 2018.

Disregard federal income tax and sales taxes.

The company was organized as a closely held corporation on March 1, 2017. The par value of the stock is \$20. After the initial shares were issued, no other shares were issued in 2017 or 2018. (See transaction 1 below)

The only plant assets owned by ***For-The-Birds*** are store fixtures purchased on March 1, 2017 for \$10,260 with estimated salvage value of \$960 to be depreciated using the straight-line method over 5 years. (See transaction 2 below)

All of the transactions for the year 2017 are summarized as follows:

1. Issued 1,500 shares of stock at par to Harold Benton
2. Store fixtures were purchased on account
3. A 12-month insurance policy covering store contents and liability was paid by check on March 1 for \$1,680
4. Sales on account were \$2,430
5. Cash sales were \$85,570
6. Received on account \$1,570
7. Paid on account \$7,250
8. Purchased merchandise inventory by check \$81,450
9. Rent, salaries, payroll taxes and advertising were all paid by check during 2017 that totaled \$22,230
10. Cash dividends of \$2,500 were paid by check to Harold Benton on Dec 28.
11. All necessary adjusting entries were journalized and posted correctly on 12-31-17 including the recording of the physical merchandise inventory of \$26,890.

(Table 2 is continued on the next page.)

Table 2 Continued

This section of Table 2 provides information about the second year of business operations. The adjusted trial balance of *For-The-Birds* for the calendar year 2018 follows with some obvious missing balances. All accounts have normal balances including the missing balances.

The insurance policy (same coverages) renewed on March 1, 2018 and the premium was paid by check for \$2,160.

The Income Statement for the twelve months ended December 31, 2018 includes vertical analysis. The base amount for vertical analysis is net sales. The vertical analysis reports Salary Expense is 8%. The gross profit percentage is 42%.

The 2018 dividends of \$5 per share were declared on December 28, 2018 and will be paid on January 15, 2019.

Cash in Bank	16,120	Sales Discounts	1,240
Accounts Receivable	7,240	Sales Returns & Allow.	4,460
Merchandise Inventory	?	Purchases	65,046
Prepaid Insurance	?	Transportation In	3,376
Store Fixtures	?	Purchases Discounts	1,160
Accum Depr—Store Fixtures	?	Purchases Ret & Allow	2,768
Accounts Payable	7,288	Rent Expense	10,200
Dividends Payable	?	Salary Expense	?
Common Stock	?	Payroll Tax Expense	876
Retained Earnings	?	Advertising Expense	654
Dividends	?	Insurance Expense	?
Income Summary	4,870 CR	Depreciation Expense	?
Sales	?		

Grader #3 _____

Answer Sheet

Contestant # _____

[illegible]

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Group 1	
1	CR
2	DR
3	NC
4	CR
5	NC
6	CR
7	NC
8	NC
9	NC
10	DR
11	NC

Group 2	
12	\$ 1,028
13	\$ 1,054
14	\$ 1,037.12

Group 3	
*15	\$ 5.43
16	\$ 23,780
*17	\$ 256,780
18	13,500 shares
19	\$ 10,500

Group 4	
20	C
21	B

Group 4 cont.	
22	D
23	C
24	A
25	B
26	A

Group 5	
27	\$ 39,150
28	\$ 39,150
29	\$ 0 or zero
30	\$ 1,755
31	\$ 2,170
*32	\$ 36,980
33	\$ 3,459
*34	\$ 35,691

Group 6	
35	D
36	E
*37	D

Group 7	
38	\$ 75,600
39	\$ 945
40	\$ 74,655
*41	\$ 210
*42	\$ 735

Group 8	
43	\$ 32,741.49
44	\$ 159.28
*45	\$ 30,965.36
46	\$ 45,625
*47	\$ 1,575
48	D
49	C

Group 9	
50	\$ 2,030
51	\$ 0 or zero
52	\$ 1,680
53	\$ 0 or zero
54	\$ 3,010
55	\$ 30,000
56	\$ 0 or zero
57	\$ 860
58	\$ 1,550
59	\$ 1,400
60	38 %
*61	\$ 8,260
*62	\$ 5,760
*63	\$ 31,760
64	\$ 360
*65	\$ 3,410

Group 9 cont.	
66	\$ 7,500
67	\$ 30,000
68	\$ 5,760
69	\$ 7,500
**70	\$ 108,500
71	\$ 8,224
72	\$ 2,080
73	\$ 1,860
74	\$ 68,422
75	\$ 64,494
76	\$ 91,384
*77	\$ 19,282
*78	\$ 5,760
*79	\$ 5,760
**80	\$ 17,542

Grader #1 xx
 Grader #2 (last name) _____
 Grader #3 (last name) _____

Contestant # _____

**UIL ACCOUNTING
State 2019-S**

SCORING CHART

Number of **correct** answers out of 80
 (without considering asterisks)..... times 5 = _____

Plus extra credit for asterisk questions answered **correctly**.
 (If the answer is incorrect, draw a line through the block.)

Question Number	Asterisks on Exam	Extra Points If Correct
15	1	
17	1	
32	1	
34	1	
37	1	
41	1	
42	1	
45	1	
47	1	
61	1	
62	1	
63	1	
65	1	
70	2	
77	1	
78	1	
79	1	
80	2	

Total Extra Points

TOTAL SCORE.....

For Director's Use:

IR ☐

TR ☐